

No matter how you look at it, one would be foolish to assume this trend of reduced DB coverage in the private sector will halt or reverse anytime soon. The only question is the magnitude and speed.

In fact, some consumer advocates and free-market economists argue that this trend away from the traditional pension system is actually a positive change. The idea is that the increased flexibility, mobility, and clarity of defined contribution plans are more in line with the needs of today's more mobile labor force. For this growing group that plans to be with more than one employer over time, the 401k, or any defined contribution plan for that matter, is the only option.

But, Are the Shareholders Happy?

Using extensive data on pension freezes, I have found that since December of 2001, an average of 1–2 publicly traded companies per month announced intentions to freeze or shut down their DB plan and either replace it with a DC plan or enhance their existing DC plan with better products, more choices, and greater matches. In addition to the companies I mentioned earlier, HP, Wendy's, Nortel, and Nissan are just a few of the major household-name companies that froze their plans between 2005 and 2007. The bottom line was that over a window of ten trading days before and after the announcement of a pension freeze or close, the average increase in stock price was approximately 3.96%. Relative to the SP500 index (or in risk-adjusted terms), the effect was even greater—approximately 4.2%. If we expand the event window to twenty business days before and twenty business days after, the aforementioned impact increases to almost 7.3% in risk-adjusted returns.

My hypothesis for the likely reason is the capping of risk and not necessarily the reduction in compensation expenses or costs. Companies have taken this unquantifiable longevity risk off their corporate balance sheet and transferred it to the employees' personal balance sheets.

I think this further reinforces the important financial fact for 21st-century retirement planning. Soon, very few groups of new employees entering the labor force will be able to rely on a DB pension plan to provide retirement income. Whether you are on the verge of retiring,